

Procure Space ETF

SPCX NASDAQ

Hold	\$111.31 ▲ 2.71%	12M Price Target \$130.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.47T
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SPCX: SpaceX First Earnings Looms, ETF Coiled Near Lows

WHAT HAPPENED

- SPCX bounced 2.7% to \$111 after a brutal week (down from \$116 to \$108) — the rebound is basically anticipation of SpaceX's first-ever earnings report this week, which is a massive event because SpaceX makes up a huge chunk of this ETF's exposure. The Motley Fool piece today ("Forget Rockets. This Is The Real Reason Wall Street Can't Stop Buying SpaceX") signals Starlink revenue — not launches — is the story Wall Street wants to hear.
- Options flow is leaning bullish into the print — heavy call buying at \$105 and \$112 strikes expiring this month (Put/Call ratio 0.70 means way more bets on upside than downside). Someone with conviction is positioning for a pop.

WHY IT MATTERS

This is a binary week for SPCX. SpaceX reporting earnings for the first time ever is the kind of event that either re-rates the whole space sector higher (if Starlink margins are fat and profitability guidance is credible for 2027) or crushes it (if losses are worse than the whisper number). Sitting at just 5% of its 52-week range tells you the market has already de-risked significantly — a lot of bad news is priced in, which asymmetrically favors an upside surprise. The Trump administration has been vocal about space dominance and Musk, despite the political drama, still runs the crown jewel here — so policy tailwinds remain intact even as sentiment has soured.

POLICY & POLITICAL WATCH

The big one: the FY2027 NASA and Space Force budget negotiations are heating up in Congress right now, with the administration pushing for expanded commercial space contracts (LEO cargo, lunar Artemis, missile defense "Golden Dome" initiative) — all of which flow to SPCX holdings like Rocket Lab, Intuitive Machines, and SpaceX. Watch for FCC decisions on Starlink spectrum allocation and any escalation of the Musk-Trump relationship, which has been rocky — if Musk falls further out of favor politically, SpaceX contract flow could slow. Export controls on satellite tech to China remain a tailwind for domestic space names since it forces allied nations to buy American.

IS IT EXPENSIVE?

SPCX is an ETF, so you're not valuing it on a P/E — you're valuing the basket. The underlying holdings trade at premium multiples (Rocket Lab at ~20x sales, meaning investors pay \$20 for every \$1 of revenue) because space is a "story stock" sector where growth is expected to compound for decades. At \$111, SPCX is 51% off its 52-week high of \$225 — that's either a value trap or a coiled spring, and SpaceX earnings will decide which.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

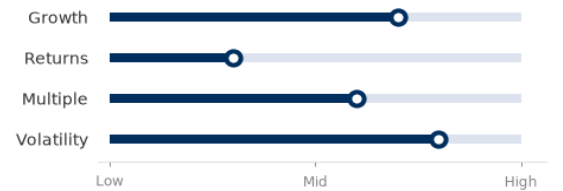
AI-Generated Pre-Market Brief | 2026-08-03 15:31 UTC

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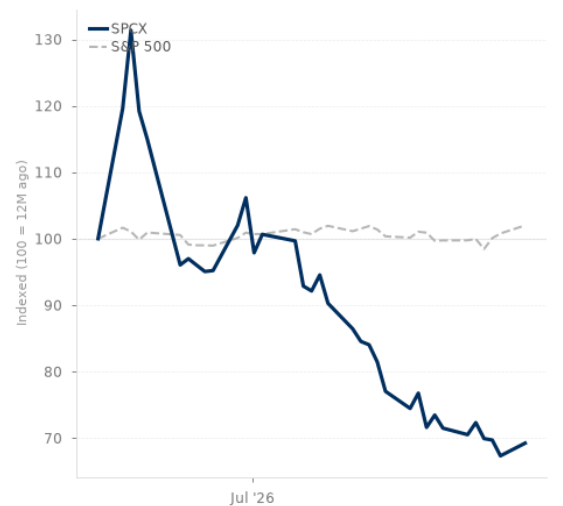
Key Data

Price (USD)	\$111.31
12M Price Target	\$130.00
Upside / (Downside)	+16.8%
Market Cap	\$1.47T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$115.00	\$100.00
6 Months	\$145.00	\$125.00	\$95.00
1 Year	\$170.00	\$130.00	\$90.00
2 Years	\$210.00	\$155.00	\$85.00
5 Years	\$320.00	\$220.00	\$100.00
10 Years	\$500.00	\$320.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.72%) and Consumer Discretionary (+1.82%) — risk-on tone returning as oil sells off on Trump's Iran diplomacy move, which lowers inflation fears and lets growth/story stocks breathe.

COOLING OFF: Energy (oil skidding on the Iran headline) and Materials — the tariff/commodity trade is fading as trade rhetoric softens.

ROTATION WATCH: Money is rotating from defensive energy names into growth and tech-adjacent themes. Space sits at the intersection of defense + tech, so it should catch a bid if this rotation holds through earnings season.

RELATED PLAY: If SPCX runs, the picks-and-shovels plays — satellite component makers (MRCY, KTOS) and defense primes (LMT, RTX) — benefit second-order. ITA (defense ETF) is the less-volatile cousin.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Consistently winning on Neutron rocket progress and DoD Space Development Agency contracts — the "next SpaceX" narrative.
- LUNR (Intuitive Machines): Riding NASA Artemis lunar lander tailwinds; every successful moon mission de-risks the story.

SPCX CONTEXT: SPCX has been LAGGING its individual holdings badly — down 51% from highs while some components have held up better. That gap tells me either the ETF is due for mean-reversion catch-up OR the market is pricing in a SpaceX-specific disappointment. Earnings will resolve it.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously optimistic. The setup into SpaceX earnings looks asymmetric (a lot priced in, bullish options flow), but I'm not pounding the table with binary event risk this week.

POSITION SIZE: 2-4% of portfolio — small enough that a bad earnings print doesn't wreck you, big enough to matter if the space thesis re-accelerates.

ENTRY POINTS: I'd nibble here at \$111 and add aggressively if we get a post-earnings gap down to \$100-105 that isn't caused by a structural SpaceX problem.

TIME HORIZON: 12-24 months — the real catalyst is the 2027 NASA budget cycle and Starlink IPO chatter, both of which could re-rate the whole basket.

WHEN TO BAIL: If SpaceX guides to losses through 2028 OR if the ETF breaks below \$100 on heavy volume, the technical damage becomes a real problem — cut it.

HEDGING: Buy a defense ETF like ITA alongside it — if space-specific risk hits (Musk drama, launch failure), defense still benefits from the same budget tailwinds and cushions the blow.